

Company Overview

JSW Energy Ltd and its subsidiaries are primarily engaged in the business of generation of power from its power assets located at Karnataka, Maharashtra, Nandyal and Salboni. It is the holding company for the JSW group's power business. The company also has a JV company engaged in mining activities and an associate engaged in manufacturing of turbines.[1]

Key Financial Ratios Table

Year	NPM %	ROE %	D/E	Interest Coverage	Asset Turnover	FCF (Cr)
2024	15.0%	8.3%	1.52	2.9	0.20	-1963.0
2023	14.3%	7.9%	1.34	4.7	0.21	-4694.0
2022	21.3%	10.0%	0.51	5.3	0.27	1565.0
2021	11.9%	5.7%	0.58	3.5	0.26	2670.0
2020	13.1%	9.3%	0.84	3.2	0.33	2383.0
2019	7.5%	5.8%	0.89	2.7	0.35	2436.0
2018	1.1%	0.8%	1.07	1.9	0.30	3719.0
2017	7.5%	6.0%	1.38	2.1	0.29	3091.0
2016	14.9%	15.0%	1.53	2.9	0.34	266.0
2015	14.5%	18.1%	1.24	3.4	0.48	2972.0

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Qualitative Investment Insights

Strengths (Pros):

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Risks & Concerns (Cons):

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum